

SS31/15 - The Internal Capital Adequacy Assessment Process (ICAAP) and the Supervisory Review and Evaluation Process (SREP)

Source: <https://www.prarulebook.co.uk/guidance/supervisory-statements/ss31-15---internal-capital-adequacy-assessment-process-and-superv>

Effective Date: 03-03-2026

Type: Supervisory Statement

Scraped: 2026-03-02 22:33

SS31/15 - The Internal Capital Adequacy Assessment Process (ICAAP) and the Supervisory Review and Evaluation Process (SREP)

Supervisory statement 31/15

First published on 29 July 2015

This Prudential Regulation Authority (PRA) supervisory statement (SS) is aimed at firms to which CRD applies and replaces PRA SS5/13 and PRA SS6/13. It provides further detail on the high-level expectations outlined in 'The Prudential Regulation Authority's approach to banking supervision'.

The SS has five chapters, including:

- * Chapter 2 : Expectations of firms undertaking an Internal Capital Adequacy Assessment Process (ICAAP). This sets out our expectations in relation to the ICAAP and the requirements set out in the ICAA part of the PRA Rulebook.
- * Chapter 3 : Stress testing, scenario analysis and capital planning. This sets out our expectations of firms in relation to stress testing, scenario analysis and capital planning, and the requirements set out in Chapter 12 of the Internal Capital Adequacy Assessment Part of the PRA Rulebook.
- * Chapter 4 : Reverse stress testing. This sets out our expectations of firms in relation to reverse stress testing, and the requirements set out in Chapter 15 of the Internal Capital Adequacy Assessment Part of the PRA Rulebook.
- * Chapter 5 : The Supervisory Review and Evaluation Process (SREP). This sets out the factors that we take into consideration to assess a firm's ICAAP, including the setting of form-specific capital requirements and the PRA buffer.

This SS should be read in conjunction with the Statement of Policy 'The PRA's methodologies for setting Pillar 2 capital'. For ring-fenced bodies (RFBs), as defined in the Financial Services and Markets Act 2000 (FSMA), section 142A, and banking groups containing RFBs, this statement should be read alongside SS8/16 'Ring-fenced Bodies (RFBs)'.

Update on 20 January 2026: On 20 January 2026, the Prudential Regulation Authority (PRA) published policy statement (PS) 4/26 - The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers (SDDTs) - final.

PS4/26 confirms that from 20 January 2026, Small Domestic Deposit Takers (SDDTs) and SDDTs consolidation entities ('hereafter 'SDDTs'), other than SDDTs that are new and growing banks as defined in SS3/21 - Non-systemic UK banks: The Prudential Regulation Authority's approach to new and growing banks, are expected to document and update their ICAAP in full at least every two years, or more frequently in the case of a material change in circumstance or if changes in the business, strategy, nature or scale of its activities or operational environment suggest that the current level of financial resources is no longer adequate. Consequently, the policy set out in paragraph 2.1 of SS31/15 does not apply to SDDTs from 20 January 2026. Firms should refer to PS4/26 paragraphs 1.15-1.16 for more details.

Current version

Published on 5 December 2025. Effective from 5 December 2025.

* Supervisory Statement 31/15 - December 2025 (pdf)

\- following PS26/25 - Discontinuing SS20/15: Supervising building societies' treasury and lending activities

Future versions

Published 28 October 2025. Effective from 1 July 2026.

* Supervisory Statement 31/15 - The Internal Capital Adequacy Assessment Process (ICAAP) and the Supervisory Review and Evaluation Process (SREP) - October 2025 (pdf)

\- Confirmed final by PS18/25 - Retiring the refined methodology to Pillar 2A - near-final

Confirmed as final in January 2026, following near-final future version published in October 2025. Effective from 1 January 2027.

* SS31/15 - The Internal Capital Adequacy Assessment Process (ICAAP) and the Supervisory Review and Evaluation Process (SREP) - January 2026 (pdf)

\- Confirmed final by PS2/26 - Retiring the refined methodology to Pillar 2A - final. First published as near-final as part of PS18/25 - Retiring the refined methodology to Pillar 2A - near-final; and

\- Confirmed final by PS4/26 - The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers (SDDTs) - final. First published as near-final as part of PS20/25 - The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers (SDDTs) - near-final.

Past versions

* ### List of past versions

Published 12 February 2025. Effective from 31 March 2025.

* Supervisory Statement 31/15 - February 2025 (pdf)

\- following PS2/25 - Streamlining firm-specific capital communications

Published 11 May 2023. Effective from 11 May 2023.

* Supervisory Statement 31/15 - May 2023 (pdf)

\- following PS5/23 - Risks from contingent leverage

Published 28 December 2020. Effective from 31 December 2021.

* Supervisory Statement 31/15 - December 2021 (pdf)

\- following PS29/20 'Capital Requirements Directive V (CRD V)'.

Published on 15 April 2021. Effective from 15 April 2021. Superseded on 31 December 2021 by December 2021 version.

* Supervisory Statement 31/15 - April 2021 (pdf)

- Following PS8/21 'Non-systemic UK banks: The Prudential Regulation Authority's approach to new and growing banks'.

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Published on 28 December 2020. Effective from 29 December 2020

* Supervisory Statement 31/15 - December 2020 (pdf)

\- following PS29/20 'Capital Requirements Directive V (CRD V)'.

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Published on 6 July 2020. Effective from 6 July 2020 (superseded on 29 December 2020 by December 2020 version).

* Supervisory Statement 31/15 - July 2020 (pdf)

\- following PS15/20 'Pillar 2A: Reconciling capital requirements and macroprudential buffers'.

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Published on 23 January 2020. Effective from 23 January 2020.

* Supervisory Statement 31/15 - January 2020 (PDF)

\- following PS2/20 'Pillar 2 capital: Updates to the framework'.

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Published on 13 March 2019. Effective from 13 September 2019 (superseded on 23 January 2020 by January 2020 version).

* Supervisory Statement 31/15 - March 2019 (PDF)

\- following PS8/19 'Credit risk mitigation: Eligibility of guarantees as unfunded credit protection'.

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Published on 15 November 2018. Effective from 1 January 2019.

* Supervisory Statement 31/15 - November 2018 (PDF)

\- following PS29/18 'Securitisation: The new EU framework and Significant Risk Transfer'.

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Published on 30 April 2018. Effective from 1 January 2019 (superseded on 15 November 2018 by November 2018 version).

* Supervisory Statement 31/15 - April 2018 (PDF)

\- following PS9/18 'Groups policy and double leverage'.

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Published on 3 October 2017. Effective from 1 January 2018 (superseded on 12 December 2017 by December 2017 version).

* Supervisory Statement 31/15 - October 2017 (PDF)

\- following PS22/17 'Refining the PRA's Pillar 2A capital framework'.

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Published on 12 December 2017. Effective from 1 January 2018 (superseded on 1 January 2019 by November 2018 version).

* Supervisory Statement 31/15 - December 2017 (PDF)

\- following PS30/17 'Pillar 2A capital requirements and disclosure'.

*

Published on 1 February 2017. Effective from 1 January 2019 (superseded on 30 April 2018 by April 2018 version).

* Supervisory Statement 31/15 - February 2017 (PDF)

\- following PS3/17, 'The implementation of ring-fencing: reporting and residual matters - response to CP25/16 and Chapter 5 of CP36/16'.

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Published on 3 August 2015. Effective from: 1 January 2016 (superseded on 1 January 2018 by December 2017 version).

* Supervisory Statement 31/15 UPDATE - August 2015 (PDF)

\- following PS19/15 'The PRA Rulebook: Part 3'.

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Published on 29 July 2015. Effective from 1 January 2016 (superseded on 3 August 2015 by August 2015 version).

* Supervisory Statement 31/15 (PDF)

\- following PS17/15 'Assessing capital adequacy under Pillar 2'.

First publication of SS.

Prudential Regulation // PRA Regulatory Digest 02 March 2026

Prudential Regulation // PRA statement 27 February 2026

Prudential Regulation // Consultation paper 25 February 2026

Prudential Regulation // Policy statement 20 February 2026

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